

MODULE 2, CHAPTER 2: CIVILS VS. MACHINES (CAR VS. EAR)

Contractors All Risk Insurance (CAR)

- **Primary Focus:** CAR primarily covers **Civil Works** [cite: 7]. This includes physical structures like offices, hospitals, roads, bridges, and warehouse complexes [cite: 7].
- **Period of Cover:** Coverage starts upon the unloading of materials at the site [cite: 7]. It expires on the specified schedule date or when the building is taken over or put into service, whichever is earlier [cite: 7].

Erection All Risk Insurance (EAR)

- **Primary Focus:** EAR primarily covers **Electro-Mechanical works** [cite: 7]. This includes installations like petrochemical plants, power generators, manufacturing lines, and steam boilers [cite: 7].
- **Civil Works Exception:** EAR automatically covers any minor civil work components needed for the installation project [cite: 7].
- **Testing and Commissioning:** EAR natively provides cover for the high-risk Testing and Commissioning phase for brand-new machinery [cite: 7]. CAR policies can only cover electro-mechanical testing if explicitly added via a special endorsement (optional) [cite: 7].

Shared Insuring Provisos

- Both CAR and EAR use a broad "all risks" insuring proviso protecting against sudden and unforeseen physical losses that are not specifically excluded [cite: 7].
- Both policies provide comprehensive protection for material damage (Section I) and Third Party Liability (Section II) [cite: 7].

Key Takeaway: Remember the split! CAR handles the concrete structural shell, while EAR covers the operational mechanical muscle. For the exam, lock down the fact that EAR *natively* covers Testing and Commissioning, whereas CAR requires you to pay extra for an endorsement to get that cover!